

Now I am ready really to go to work. I will use the “scuttlebutt” method I have already described just as much as I possibly can. Here, rather than as a source of original ideas for investment, is where the people I have come to know in the business executive-scientist group can be of inestimable value. I will try to see (or reach on the telephone) every key customer, supplier, competitor, ex-employee, or scientist in a related field that I know or whom I can approach through mutual friends. However, suppose I still do not know enough people or do not have a friend of a friend who knows enough of the people who can supply me with the required background. What do I do then?

Frankly, if I am not even close to getting much of the information I need, I will give up the investigation and go on to something else. To make big money on investments it is unnecessary to get some answer to every investment that might be considered. What is necessary is to get the right answer a large proportion of the very small number of times actual purchases are made. For this reason, if way too little background is forthcoming and the prospects for a great deal more are bleak, I believe the intelligent thing to do is to put the matter aside and go on to something else.

However, suppose quite a bit of background has become available. You have called on everyone you know or can readily approach, but have spotted one or two people who you believe could do much to complete your picture if they would talk freely to you. I would not just walk in on them off the street. Most people, interested as they may be in the industry in which they are engaged, are not inclined to tell to total strangers what they really think about the strong and weak points of a customer, a competitor, or a supplier. I would find out the commercial bank of the people I want to meet. If in matters of this sort you approach a commercial bank that knows you, tell them frankly whom you want to meet and exactly why, it is surprising how obliging most commercial bankers will be in trying to help you—provided you do not bother them too often. It is possibly even more surprising how helpful most businessmen will try to be if you are introduced to them by their regular bankers. Of course this help will only be forthcoming if the bankers in question have no doubt whatsoever that the information you are seeking is solely for background purposes in determining whether to make an investment, and that under no